They had spent their careers studying specific errors in human judgment, and they had learned that individuals weight gains and losses differently. Under utility theory, value is assigned to the final asset. Under Kahneman and Tversky's prospect theory, value is assigned individually to gains and losses. Kahneman and Tversky were able to prove that people do not look at final wealth, as dictated by utility theory, but rather they focus on the incremental gains and losses that contribute to their final wealth. The most important discovery in prospect theory was the realization that people are loss averse. In fact, Kahneman and Tversky were able to prove mathematically that people regret losses more than they welcome gains of the same size—two to two and one-half times more.

In other words, the pain of a loss is far greater than the enjoyment of a gain. Many experiments have demonstrated that people need twice as much positive to overcome a negative. On a 50/50 bet, with precisely even odds, most people will not risk anything unless the potential gain is twice as high as the potential loss.

This is known as asymmetric loss aversion: The downside has a greater impact than the upside, and it is a fundamental bit of human psychology. Applied to the stock market, it means that investors feel twice as bad about losing money as they feel good about picking a winner. The impact of loss aversion on investment decisions is obvious, and it is profound. We all want to believe we made good decisions. To preserve our good opinion of ourselves, we hold on to bad choices far too long, in the vague hope that things will turn around. By not selling our losers, we never have to confront our failures.

This aversion to loss makes investors unduly conservative. Participants in 401(k) plans whose time horizons are decades still keep large amounts of their money invested in the bond market. Why? Only a deeply felt aversion to loss would make anyone allocate so conservatively. But loss aversion can affect you in a more immediate way, by making you irrationally hold on to losing stocks. No one wants to admit making a mistake. But if you don't sell a mistake, you are potentially giving up a gain that you could earn by reinvesting smartly.

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